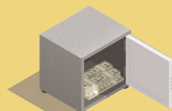
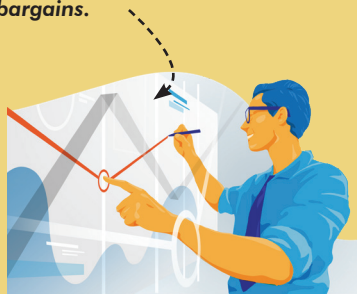


Fair Value/Book Value

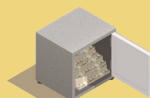
Companies report most assets at book value. However, it is possible that the asset prices might have increased. The fair value may be higher than the book value.

- ◇ **We need to get an idea of the fair value of the assets and the equity. We need to estimate FV/BV to identify any hidden investment bargains.**

If a company bought land for 50 Crores five years ago, it presents this number as 50 Crores only in the balance sheet or income statement. However, in reality, the value of this land may have increased over the last five years, which is not reported in financial statements.



50cr



In reality the value has increased over the last five years

For such assets where fair value is not reported, we need to understand or identify the fair value. If in the above example, the land fair value now stands at 200 Crores, then the difference, i.e., 150 Crores, is the hidden value that the company has.



This is because the company's asset value looks low as per financials. However, in reality, the assets' worth is much higher than the recorded value. Thus, it is required to dig deeper and look for the fair value of the company's assets.

However, this data is not easy to obtain. Also, accounting rules require companies to report Fair Value for some assets. Talking to management is one source to obtain this data. But do not force when such data is not available.